

Navigating a Co-founder Breakup: How to Not Kill Your Company

An EWOR Checklist

Co-founder breakups are challenging and often emotional.

However, you can preserve the health of your startup and ensure fair treatment for all parties with a structured approach.

The EWOR Partners, drawing from their personal experience, have created this guideline to assist you in navigating this process and protect your cap table.

Protecting the Cap Table

When a co-founder departs, the primary concern should be protecting the cap table, which ensures a balanced equity distribution that keeps the company appealing to investors and supports long-term growth.

A “broken cap table” – where equity is unevenly distributed – can deter investors and lower the company's overall value.

When negotiating equity with an exiting co-founder, ensure the outcome:

- Preserves sufficient equity for the remaining founders and stakeholders.
- Minimises undue advantage for the departing founder.

Below, we outline the essential steps needed to reach these objectives.

1 Reclaim Unvested Shares

Unvested shares should revert to the remaining founder(s) or the company.

This standard practice ensures the exiting co-founder does not retain undue equity, maintaining fairness and protecting the cap table.

2 Negotiate about Vested Shares

To protect the cap table, it can be worth negotiating about the vested shares.

When investors invest in early-stage companies, they pay for the expected value increase of the shares.

The price paid for a share in a startup pre-IPO is therefore not a fair reflection of the value of the startup at that point in time, but has future growth priced in.

As the departing co-founder will not be part of realising that growth, it can be justified to negotiate about vested shares.

There are three topics that you can negotiate about:

1. The percentage of vested shared the exiting co-founder can keep

One option to ensure the exiting co-founder does not benefit from unrealized growth is reducing the equity stake they can keep.

2. The price that will be paid for the shares

Another option is to limit the price they can receive per share.
This is either done by setting a discount compared to the most recent valuation event at the time they want to sell their shares (common discounts valuing 30%) or by already agreeing on a price per share (i.e. the last valuation).

3. The (timing of) buyback

Considering a buy-back agreement allows the company to repurchase the exiting co-founder's vested shares at a fixed price over a set period, typically three years.

This approach has the following benefits:

Liquidity for the Departing Founder:
The exiting co-founder gains access to funds, enabling them to pursue their next venture or other opportunities.

Flexibility for Remaining Stakeholders:
The buy-back option provides both the company and potential investors with the opportunity to increase their stakes, maintaining a balanced and healthier cap table.

In short, both strategies above prevent the exiting co-founder from benefitting disproportionately from unrealised growth, while safeguarding the equity structure for the remaining team.

3 Advisory Role Opportunity

A departing co-founder can be a valuable advisor, offering insights that few others can. Offering an advisory role, paired with a refreshed equity grant, can:

1. Allow Continued Investment in the Company's Success

The former co-founder will remain invested in the company's success through their contributions as an advisor.

2. Offer Reassurance to Investors:

This arrangement demonstrates to stakeholders that the co-founder is actively engaged and incentivised to support the company's growth.

To structure this effectively, align the advisory equity grant with the last funding round's strike price and implement a new vesting schedule.

This ties the co-founder's contributions to measurable outcomes, benefiting both the company and its stakeholders

Proceed With Independent Legal Counsel

As a final note, formalising agreements and addressing potential conflicts of interest during your co-founder's departure require careful legal oversight.

To ensure fairness and clarity:

- Work with independent legal counsel mutually agreed upon by all parties.
- Retain the counsel on behalf of the company, ensuring the organisation's interests take precedence over those of individual stakeholders.

This approach sends a clear message to investors that the company's success is the top priority, instilling confidence in its long-term stability.

- ➔ For more nuanced or complex situations, consider consulting a legal advisor experienced in startup equity structures to ensure the agreement aligns with industry best practices and protects all parties involved.



Your Co-Founder Breakup Checklist

1 Reclaim Unvested Shares

Ensure unvested shares revert to the company or remaining founders.

2 Negotiate About Vested Shares

- Decide on the percentage of vested shares the departing co-founder can keep.
- Set a price for the shares:
 - Offer a discounted rate.
 - Agree on a fixed price per share based on the most recent valuation.
- Establish a buyback agreement:
 - Define a timeline.
 - Ensure liquidity for the departing co-founder while protecting the cap table.

3 Offer an Advisory Role (Optional)

- Propose an advisory role with a refreshed equity grant.
- Align the equity grant with the last funding round's strike price.
- Implement a new vesting schedule tied to measurable contributions.

4 Proceed With Independent Legal Counsel

- Work with mutually agreed-upon independent legal counsel.
- Retain counsel on behalf of the company to prioritise organisational interests.
- Ensure all agreements are formalised and align with industry best practices.

